

INTERNATIONAL DEBT REPORT 2025



WORLD BANK GROUP

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INTERNATIONAL DEBT REPORT 2025

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ISBN (paper): 978-1-4648-2262-9

ISBN (electronic): 978-1-4648-2263-6

DOI: 10.1596/978-1-4648-2262-9

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Foreword

A paradox is playing out in developing economies. On the bright side, inflation is abating. The oppressive interest rates of the last five years have begun to ease, which implies that the crushing debt service burdens of the last few years might start to shrink. For the right price, foreign bond investors are willing to provide financing again, enabling many countries to stave off default.

For most countries, however, these are small consolations—not enough to overcome the grave setbacks of this decade. As this report documents, the upheavals of the early 2020s produced a financial riptide like no other: between 2022 and 2024, about US\$741 billion more flowed out of developing economies in debt repayments and interest than flowed into them in the form of new financing. It was the largest debt-related outflow in more than 50 years. The human toll has been steep: among the 22 most highly indebted countries, one out of every two people today cannot afford the minimum daily diet necessary for lasting health.

It's imperative, therefore, for policy makers everywhere to make the most of the breathing room that exists today, because the luxury could vanish tomorrow. That means putting the debt burdens of developing countries back on a sustainable path—by putting the fiscal house in order and reducing sovereign risks in ways that spur productive investment. It means modernizing the global systems meant to avert debt distress—by sounding the alarm *before* countries stray off the path and by helping them restructure their debts swiftly once the crisis arrives.

In 2024, the total external debt stock of low- and middle-income countries hit a new record: US\$8.9 trillion, of which US\$1.2 trillion—also a record—was owed by the 78 most vulnerable countries eligible to receive grants and low-cost loans from the World Bank's International Development Association. It was the wrong time for this type of record-breaking: average interest rates for developing countries haven't been higher since just before the great financial crisis of 2008–09. These countries paid a record US\$415 billion in interest alone—money that might otherwise have been used to trim the rising ranks of out-of-school children, improve primary health care, and electrify rural villages.

Progress, of course, is occurring, but it is modest, and considerably more is needed. Debt burdens are now growing more slowly. Creditors were in a forgiving mood last year: they agreed to restructure US\$90 billion in developing country debt, more than at any time since 2010. Ghana, Haiti, Somalia, and Sri Lanka, for example, secured restructuring agreements that shrank their long-term external debt by anywhere from 4 percent to 70 percent. Because of the work of the Global Sovereign Debt Roundtable, led by the International Monetary Fund and the World Bank, Ghana managed to complete its restructuring with its official bilateral creditors in half the time it took for previous restructurings under the Group of Twenty's Common Framework for Debt Treatments.

Yet it's no easier today for developing countries to stay clear of a debilitating debt trap than it was a decade ago. It would be foolish to expect that the human misery caused by the next debt crisis will be milder than the most recent one. That's because the global machinery for tackling crises has not kept up with the times. It was designed for a time when developing economies owed most of their external debt to the World Bank, the International Monetary Fund, and a handful of high-income economies—all of which provided loans at below-market rates.

That was a long time ago. Today, private creditors—bond investors mostly—account for nearly 60 percent of the long-term public and publicly guaranteed debt of developing economies. Debt owed to Paris Club creditors—the longtime overseers of the global debt-restructuring system—now accounts for about 7 percent.

That imbalance explains why restructurings in the 2020s have been so sluggish. Decision-making authority has shifted beyond the reach of the Paris Club. It is now dispersed among millions of bondholders and a kaleidoscope of governments in high- and middle-income economies. Debt restructurings, as a result, take place through a maze of processes: either via the Common Framework—the emergency mechanism introduced during the COVID-19 period to support debt-distressed countries—or through one-off deals with governments and bondholders.

The early-warning system for managing the debt of low-income countries is equally in need of an update: it was designed for an era when domestic debt markets were undeveloped and foreign private creditors were almost completely out of the picture. The opposite is true today. The system, officially the Low-Income Country Debt Sustainability Framework, is up for review this year. It should be overhauled to account for this new environment.

In 2024, bond investors turned on the spigots: having backed out of developing economies only the year before, they charged back in, pumping in US\$80 billion more in new disbursements than they took back in the form of debt repayments.

That allowed some countries to ease their financial squeeze. Several were able to complete multibillion-dollar bond issuances—either to finance budget deficits or to pay off maturing bonds. But this was hardly low-cost borrowing: the interest rate was as much as 10 percent, roughly double the pre-2020 rate.

Not all developing countries, however, are finding it practical to tap foreign bond markets, and other options became scarcer in 2024. Official bilateral creditors—governments and government-related entities—retreated, taking in US\$8.8 billion more in principal and interest than they disbursed in new financing. Most developing countries turned to domestic creditors: among the 86 for which domestic debt data are available, more than half—50 in all—saw their domestic government debt grow faster than external government debt. Government borrowing of this type usually comes at the expense of the private sector: local commercial banks load up on government bonds when they should be lending to the private sector. Domestic debt also involves shorter maturities—and therefore greater risk when the loan matures and must be refinanced at a potentially higher interest rate.

The time has come to stop tempting fate. The mismanagement of developing country debt is putting the brakes on economic development, pushing too many countries into a devil's bargain: borrow, at high cost, from foreign bondholders or stifle the domestic private sector by soaking up the assets of domestic commercial banks. The World Bank has remained a major lifeline for the most vulnerable countries: in 2024, it provided US\$18.3 billion more in low-cost financing for countries eligible for International Development Association assistance than it received in principal repayments from them. That amount was an all-time high—but the laws of gravity cannot be defied forever.

Debt is still building in pernicious ways. Even if countries had options to climb out of the ditch quickly, governments ought not to be risking debt distress: the long-term human costs are simply unaffordable. But such options are hardly abundant today—and there are few signs that anything will change materially in the near term. Unless it does, the easing of financial conditions today could encourage poor and vulnerable countries to sleepwalk into a larger calamity tomorrow.

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Acknowledgments

This volume was prepared by the World Bank's Debt Statistics Program of the Development Data Group, comprising Parul Agarwal, Arzu Aytekin Balibek, Kifaye Didem Bayar, Matthew Benjamin, Sylvie Kabaziga Bishweka, Wendy Huang, Malvina Pollock, Prateek Samal, João Miguel Falcao Pinto Da Silva, Emiriana Stanishja, Rubena Sukaj, Tin Yu To, and Rasiel Vellos. The work was carried out under the management of Evis Rucaj and the direction of Haishan Fu. The team was assisted by Nancy Kebe.

The overview was prepared by the Debt Statistics Team, with contributions from Yan Bai and Eric Metreau from the Real Sector Statistics Unit; Diego Rivetti, Mellany Pintado Vasquez, and Wissam Harake, with guidance from Ewa Joanna Korczyk from the Economic Policy and Global Macro Team; Mike Nyawo and Alvaro Raul Espitia Rueda, with guidance from Sebastien Dessus from the Trade, Investment, and Regional Integration Team; and Hayley Pallen and Naotaka Sugawara, with guidance from M. Ayhan Kose and Carlos Arteta from the Development Economics Prospects Group.

Valuable guidance was provided by Indermit S. Gill, senior vice president and chief economist of the World Bank Group, and Haishan Fu, chief statistician of the World Bank and director of the Development Data Group. Brian R. Pinto, former senior advisor at the World Bank, provided valuable feedback. In addition, the Development Economics Vice Presidency; Macroeconomics, Trade and Investment Global Practice; Development Finance Vice Presidency; and Development Economics Prospects Group of the World Bank provided helpful feedback on the overview section. The final statistics were reviewed by country economists from the Macroeconomics, Trade and Investment Global Practice.

The cover was designed by Parul Agarwal and Bill Pragluski. Mark McClure, Jewel McFadden, and Yaneisy Martinez coordinated the publication and dissemination of this report. Kristen Milhollin, Karolina Ordon, Joseph Rebello, and Shane Kimo managed the communications surrounding the release.

The accompanying International Debt Statistics electronic products were prepared with support from a team led by Kunal Patel, Ramgopal Erabelly, and Sebastian Ariel Dolber, and comprising Yuliyana Nikolaeva Bogdanov, Rajesh Kumar Danda, Svetoslava Georgieva Dimitrova, Todor Yordanov Grozdev, and Tsvetelina Nikolova Stefanova.

Key Takeaways

In 2024, slightly easier financial conditions brought some breathing room to low- and middle-income countries (LMICs) struggling with high debt burdens, as interest rates peaked and bond markets opened up once again. Many countries used the opportunity to restructure their debt in order to ease fiscal pressures and improve long-term fiscal sustainability. These actions, however, did not halt the longer-term buildup in public debt burdens, which hit a new record during the year.

Key takeaways from the 2024 data include the following:

- Growth in total external debt stock of LMICs slowed considerably in 2024, rising by only 1.1 percent from 2023 to reach US\$8.9 trillion, after more than doubling the 2010 level. A similar trend was observed for countries eligible for International Development Association (IDA) assistance, where external debt stood at US\$1.2 trillion in 2024, only 2.0 percent higher than the previous year.
- Net debt inflows (disbursements minus principal repayments) to LMICs increased 40.7 percent to US\$210.3 billion in 2024, mainly because of bond issuance and financing from multilateral institutions, which accounted for 38.1 percent and 48.5 percent, respectively, of long-term debt inflows, for a combined share of 86.5 percent. Total net debt inflows to IDA-eligible countries rose 18.6 percent to US\$53.1 billion in 2024.
- LMICs saw a reversal in bonds flows, shifting from US\$75.4 billion in outflow in 2023 to an inflow of US\$55.0 billion in 2024, reflecting renewed investor confidence, stronger economic growth prospects, and lower perceived credit risk. Bondholders were the fastest-growing component of public and publicly guaranteed (PPG) net debt flows to IDA-eligible countries, reversing from an outflow of US\$730.4 million in 2023 to an inflow of US\$7.1 billion in 2024. The increase, not seen since a US\$11.1 billion jump in 2021, was the result of new issuances in 2024, which outpaced the increase in PPG bond principal repayments.
- In 2024, net debt inflows from multilateral creditors were the largest contributing component to PPG net debt flows, accounting for 73.2 percent of PPG net debt flows. They recorded US\$70.1 billion in net debt inflows, nearly half of LMICs' net long-term debt inflows. The financial support from this creditor group fell 5.1 percent, easing after the unprecedented support provided during the COVID-19 pandemic.

- Combined World Bank (IDA and International Bank for Reconstruction and Development) lending reached an all-time high of US\$36 billion, an increase of 30.4 percent over 2023. The World Bank remained the single-largest provider of financing for IDA-eligible countries, accounting for over one-third of PPG net debt inflows in 2024, an increase of 9.3 percent to US\$18.3 billion. In addition, it also provided \$7.5 billion in IDA grants in 2024, an increase of 10.9 percent. Conversely, net debt inflows to LMICs from bilateral creditors fell 76 percent to US\$4.5 billion during the year, marking their lowest level since net outflows during the 2008 financial crisis. Net debt inflows to IDA-eligible countries from bilateral creditors dropped 84.8 percent in 2024 to US\$1.7 billion, barely remaining positive.
- For a second consecutive year, LMICs' interest payments to service their total external debt reached an all-time high, increasing 2.2 percent to US\$415.4 billion in 2024. These payments are 2.4 times higher than a decade ago, driven mainly by a 4.5 percent increase from public sector borrowers, to US\$161.3 billion. This increase in interest payments has had severe consequences in high-debt countries, where on average more than half the population is already unable to afford a healthy diet.
- In 2024, LMICs paid out US\$205.1 billion more in principal and interest than they received in new loans, marking the third consecutive year of net outflows. Long-term net transfers to PPG borrowers, which turned slightly positive in 2024 to US\$11.9 billion, were the only positive contributor. Conversely, long-term net debt transfers to private nonguaranteed borrowers continued to remain negative in 2024, deteriorating from US\$126.6 billion to US\$147.4 billion. Among IDA-eligible countries, net debt transfers to PPG borrowers decreased 14.9 percent, to an inflow of US\$24.4 billion in 2024.
- In 2024, debt reorganization by LMICs reached its highest level since 2010. Close to US\$90 billion was reorganized, of which more than half was due to agreements with IDA-eligible countries. Reorganizations took several forms, including restructuring agreements in the Group of Twenty Common Framework and other international forums, and with private creditors, notably bondholders, as well as debt swap arrangements with official and private creditors.
- Among many LMICs, a welcome decrease in external indebtedness was offset by an increase in domestic borrowing. Of 86 countries for which domestic public debt data are available, 50 countries (representing more than half of the sample) recorded an increase in domestic debt that outpaced the increase in their external debt from 2023 to 2024.

In addition to the release of the 2024 external debt data from the International Debt Statistics database, this edition of the *International Debt Report* provides

- An analysis of the near-term macroeconomic outlook and risks LMICs face amid changing global financial and trade conditions, and what these shifts imply for these countries' debt burdens and vulnerabilities;
- A breakdown of changing debt patterns by region;
- An analysis of how elevated debt servicing burdens diminish LMICs' resources for other development priorities, including providing food and nutritional security, mitigating vulnerability to crises, and shoring up fiscal and institutional capacity; and
- An update on progress of the debt transparency agenda and the role of the World Bank in advancing sound debt management and policy frameworks, enhancing the accuracy and coverage of debt data, and promoting the reconciliation of borrower and creditor accounts.

Abbreviations

AfDB	African Development Bank
AFESD	Arab Fund for Economic and Social Development
BADEA	Arab Bank for Economic Development in Africa
BCEAO	Central Bank of West African States
BCIE	Central American Bank for Economic Integration
BDEAC	Development Bank of the Central African States
CPIA	Country Policy and Institutional Assessment
DRS	Debtor Reporting System
DSSI	Debt Service Suspension Initiative
EAP	East Asia and Pacific
EBRD	European Bank for Reconstruction and Development
EIB	European Investment Bank
FAO	Food and Agriculture Organization of the United Nations
FCS	fragile and conflict-affected situations
FDI	foreign direct investment
FY	fiscal year
G-7	Group of Seven
G-20	Group of Twenty
GDP	gross domestic product
GNI	gross national income
GSDR	Global Sovereign Debt Roundtable
HIPC	Heavily Indebted Poor Countries
IBRD	International Bank for Reconstruction and Development
IDA	International Development Association
IDB	Inter-American Development Bank
IDR	International Debt Report
IDS	International Debt Statistics
IFAD	International Fund for Agricultural Development
IMF	International Monetary Fund

J-CAP	Joint Capital Market Program
LAC	Latin America and the Caribbean
LICs	low-income countries
LMICs	low- and middle-income countries
MENAAP	Middle East, North Africa, Afghanistan, and Pakistan
MICs	middle-income countries
OCC	official creditor committee
OPEC	Organization of the Petroleum Exporting Countries
PBG	policy-based guarantee
PCO	Program of Creditor Outreach
PPA	Performance and Policy Action
PPG	public and publicly guaranteed
PNG	private nonguaranteed
SDFP	Sustainable Development Finance Policy
SDRs	special drawing rights
SNA	System of National Accounts
SOE	state-owned enterprise
SRBI	Bank Indonesia Rupiah Securities
WGI	Worldwide Governance Indicators

All dollar amounts are in US dollars unless otherwise indicated.

PART 1

Overview

1. Analysis of External Debt Stock and Debt Flows as of End-2024

Trends in External Debt, 2014–24

In 2024, low- and middle-income countries (LMICs) rebalanced their debt portfolios, shifting from new external financing to borrowing in domestic markets, and selectively issuing bonds in order to navigate tight global financial conditions and enhance fiscal resilience. Some countries used liability management operations, and a few restructured their debts. This approach significantly slowed these countries' accumulation of external debt, which increased only marginally by 1.1 percent, to US\$8.9 trillion—about US\$101 billion above the 2023 level (table 1.1).

Table 1.1 External Debt Stock of Low- and Middle-Income Countries, 2014–24

US\$ (billion)

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Debt stock	6,273.0	5,874.7	6,094.5	6,855.4	7,345.0	7,726.2	8,147.3	8,794.2	8,680.5	8,836.3	8,937.0
Long-term	4,252.6	4,346.0	4,613.7	5,048.6	5,320.2	5,679.8	6,088.1	6,535.6	6,422.7	6,501.0	6,542.6
Official creditors	1,000.8	1,018.7	1,076.5	1,178.2	1,249.2	1,314.3	1,481.6	1,682.2	1,714.8	1,812.1	1,834.1
Bilateral creditors	368.4	366.7	394.0	432.8	453.7	462.2	493.1	489.2	480.5	492.9	475.2
Multilateral creditors	632.4	652.0	682.4	745.4	795.5	852.1	988.6	1,193.0	1,234.3	1,319.1	1,358.9
World Bank (IBRD and IDA)	268.6	278.0	288.6	311.7	321.3	339.5	375.2	387.5	405.0	435.7	463.1
IMF (Use of credit and SDR allocations)	97.7	100.5	103.8	114.5	142.0	162.2	214.6	386.4	380.5	380.9	371.6
Private creditors	3,251.8	3,327.3	3,537.3	3,870.3	4,071.0	4,365.5	4,606.5	4,853.4	4,707.9	4,689.0	4,708.5
Bonds	1,205.2	1,230.6	1,343.7	1,634.9	1,752.6	1,971.4	2,192.5	2,375.1	2,237.8	2,154.0	2,175.1
Banks and other private	2,046.6	2,096.7	2,193.5	2,235.4	2,318.4	2,394.1	2,414.0	2,478.2	2,470.1	2,534.9	2,533.4
Short-term	2,020.4	1,528.7	1,480.7	1,806.8	2,024.8	2,046.4	2,059.1	2,258.6	2,257.8	2,335.3	2,394.4
Memorandum item											
Long-term PPG	2,130.8	2,184.4	2,346.0	2,652.9	2,883.1	3,100.6	3,392.0	3,787.3	3,763.2	3,852.1	3,931.2
Long-term PNG	2,121.9	2,161.6	2,267.8	2,395.6	2,437.1	2,579.3	2,696.2	2,748.3	2,659.5	2,648.9	2,611.4

Sources: World Bank International Debt Statistics database; International Monetary Fund; Bank for International Settlements.

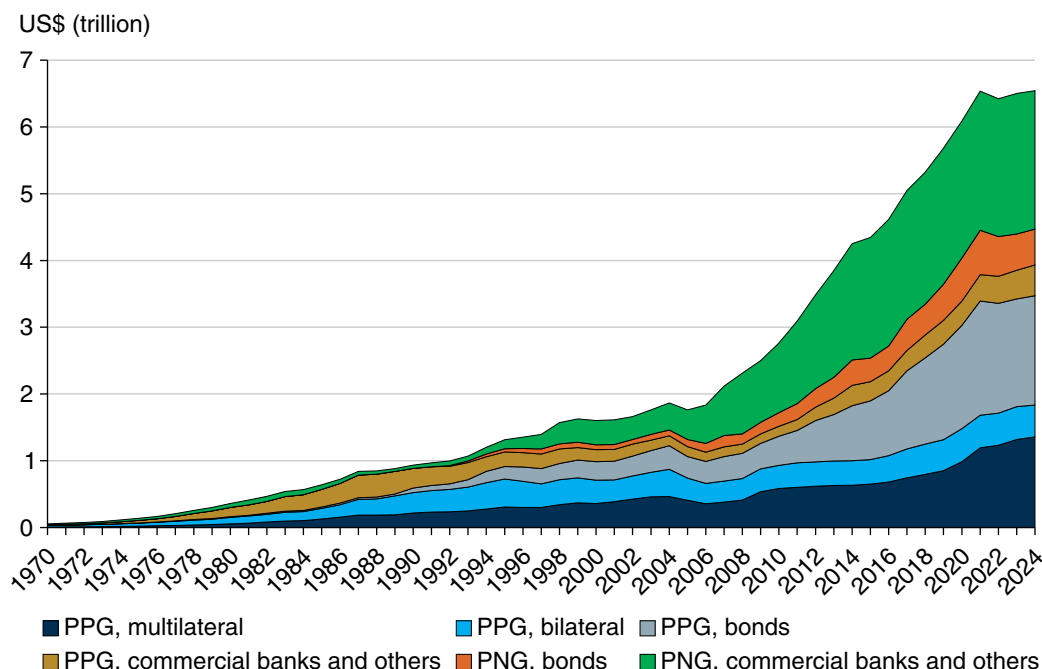
Note: IBRD = International Bank for Reconstruction and Development; IDA = International Development Association; IMF = International Monetary Fund; PNG = private nonguaranteed; PPG = public and publicly guaranteed; SDR = special drawing right.

Some LMICs opted to restructure or renegotiate their existing debt in a strategic effort to reduce elevated debt levels. By doing so, these governments attempted to ease fiscal pressures and improve long-term sustainability. New borrowing from commercial banks declined primarily because of unfavorable market conditions: elevated global interest rates in the wake of the global pandemic had increased the cost of securing new loans, rendering commercial financing less attractive. In addition, tighter lending standards and heightened risk aversion among banks further limited access to this source of funding. Notably, LMIC governments increased their reliance on domestic borrowing in 2024 to fill critical financing needs, also in lieu of additional external financing. This shift reflects both short- and long-term factors. In the short term, governments affected by heightened vulnerability concerns reflected a countercyclical adjustment and a more cautious approach to additional borrowing from external sources in a period characterized by persistently elevated interest rates, high debt levels, weak credit ratings, and rising trade uncertainties. The shift also allows for greater control over debt terms and mitigates exposure to foreign exchange risk. In the long term, the substitution of domestic for external borrowing also indicates that the gradual development of domestic capital markets—a long-time goal for the World Bank—is allowing many LMICs to identify and tap internal sources for their financing needs.

Despite the broader shift from external borrowing, many LMICs continued to issue new bonds in international markets in 2024 because of several compelling advantages, including the lower cost (that is, lower interest rates than provided by other private creditors) of bonds compared to other sources of external financing; the longer maturities of bonds that help reduce rollover risk and improve debt sustainability; the larger financing volumes provided by bond issuances, which can provide access to substantial capital to support budgetary needs and development programs; and the rollover potential of bonds that offers refinancing flexibility in managing debt portfolios. The ability of LMICs to resume bond issuance in 2024 at an accelerating pace was a welcome development, as many countries were locked out of global bond markets just a few years ago.

Growth in the total external debt stock slowed in 2024 to 1.1 percent, reaching US\$8.9 trillion, after more than doubling the 2010 level. Short-term debt was the fastest-growing component, increasing 2.5 percent in 2024, to US\$2.4 trillion. Long-term debt remained steady at US\$6.5 trillion, but with an important change in composition. A decade ago (2014) the stock of long-term debt was almost evenly divided between public and publicly guaranteed (PPG) and private nonguaranteed (PNG) debt (figure 1.1). Over the past 10 years, however, the share of long-term debt held by the PPG sector has been on an upward trajectory and reached 60 percent (US\$3.9 trillion) in 2024; by contrast, that of the PNG sector has decreased to 40 percent (US\$2.6 trillion). The shift was a consequence

Figure 1.1 Creditor Composition of Long-Term External Debt Stock in Low- and Middle-Income Countries, 1970–2024



Source: World Bank International Debt Statistics database.

Note: PNG = private nonguaranteed; PPG = public and publicly guaranteed.

of governments stepping in to finance development projects and public services in the aftermath of the COVID-19 pandemic, as borrowing by the private sector declined because of diminished growth prospects and uncertainty. Additionally, as interest rates increased in 2022 following a decade of persistently low rates, investor preferences shifted to safer government debt over private sector lending.

Viewed from the creditor perspective, the composition of long-term debt outstanding varied widely in 2024 and has evolved significantly over the past decade. Public debt owed to multilateral creditors, an important source of concessional financing for LMICs, increased 3.0 percent in 2024, to US\$1.4 trillion. Multilateral creditors notably increased their support for LMICs during the COVID-19 pandemic, and they have continued to provide support to these nations as they face limited fiscal space, higher borrowing costs, and fewer sources of financing in the aftermath of the global crisis. This support has become more crucial as funding from private creditors remains steady, whereas support from official bilateral creditors decreased 3.6 percent, to US\$475.2 billion, in 2024. Over the past decade, the share of outstanding debt owed to bilateral creditors has decreased 5.2 percentage points, to 12.1 percent in 2024; by contrast, that of multilateral creditors has increased 4.9 percentage